Investopia

REGULATIONS AND RESEARCH DIGEST · ETHIOPIA

National Bank of Ethiopia directives

Plain-English summaries of the official documents that shape investing in Ethiopia, with what each one means for investors and businesses.

PUBLIC EDITION

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Erudite Africa Investments PLC · Addis Ababa

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— Overview

Directives issued by the National Bank of Ethiopia (NBE) set the day-to-day rules for foreign exchange, interest rates, bank licensing, foreign participation in banking, payments and microfinance. Since the July 2024 move to a market-based exchange rate, these directives have changed often and directly affect how investors bring in capital, pay for imports, borrow abroad and repatriate profits.

01 Documents in this digest (14)

Foreign exchange | Amended by FXD/3/2025, FXD/04/2026, FXD/05/2026 and FVD/01/2026

Foreign Exchange Directive

Directive No. FXD/01/2024 · National Bank of Ethiopia · July 29, 2024

The core rulebook of Ethiopia's market-based foreign exchange regime, effective July 29, 2024. It lets banks buy and sell foreign currency at freely negotiated rates, with the NBE publishing only an indicative daily rate. Exporters must repatriate proceeds within three months, convert 50% to Birr and may keep 50% in a retention account; the directive also covers FX accounts for non-resident Ethiopians and foreign nationals of Ethiopian origin, independent forex bureaus, external loans (60:40 debt-to-equity cap for foreign investors) and dividend repatriation. It repealed all earlier NBE foreign exchange directives and circulars.

Why it matters: This is the starting point for any question on bringing in capital, opening FX accounts, paying for imports, borrowing abroad or sending dividends home. Read it together with its later amendments, which have relaxed many approval requirements.

Foreign exchange | In force

Amendment to Foreign Exchange Directive No. FXD/01/2024

Directive No. FXD/05/2026 · National Bank of Ethiopia · May 25, 2026

Effective May 25, 2026, banks may approve letters of credit on acceptance and cash against documents on acceptance without prior NBE approval for institutions with foreign currency accounts, including retention account holders. These institutions may also order or initiate shipments before bank approval, with payment processed after documents are submitted and verified. An accompanying NBE notice says banks must price LC fees on an annualized basis, pro-rated to each LC's tenor.

Why it matters: Importers that hold their own FX or retention balances face fewer approval steps and can move goods faster. Trade finance becomes a bank-level decision rather than a central-bank one.

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Foreign exchange | In force

Import on Franco Valuta Directive

Directive No. FVD/01/2026 · National Bank of Ethiopia · May 29, 2026

Effective May 29, 2026, this directive sets the rules for franco valuta imports, meaning goods imported without drawing foreign exchange from the domestic banking system. Eligible users include licensed domestic, diaspora and foreign investors, foreign-owned manufacturers, FDI and diaspora traders, strategic projects, diplomatic missions and NGOs, for capital goods, raw materials, trade goods and other listed items. Users need valid licenses and must file documents with Customs; transactions must be recorded digitally, and misuse can lead to fines, confiscation or criminal liability. It repeals sub-article 8.1.3 of FXD/01/2024.

Why it matters: Investors and traders with their own offshore foreign currency can import machinery, inputs and, for FDI and diaspora traders, trade goods without competing for bank FX. Annex limits apply to personal effects, samples and gifts.

Foreign exchange | In force

Amendment to Foreign Exchange Directive No. FXD/01/2024

Directive No. FXD/04/2026 · National Bank of Ethiopia · February 11, 2026

Effective February 12, 2026, this broad relaxation lets service exporters keep 100% of proceeds in retention accounts indefinitely, allows banks to offer forward rates, and lets FDI companies open FX accounts with only an application, investment license and TIN. Banks may now approve dividend and net profit remittances, external loans and supplier credits without NBE approval (with monthly reporting), and may issue private FX loan guarantees up to 10% of total capital. It removes the minimum FX account deposit and the USD 10,000 cash declaration requirement, permits outward investment case by case with NBE approval, and allows residents to send up to USD 3,000 abroad for family support.

Why it matters: Profit repatriation and offshore borrowing are now handled at the commercial bank, which should shorten timelines for foreign investors. Service exporters keep full control of their FX earnings.

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Interest rates · In force

Interest Rates (As Amended) Directive

Directive No. NBE/INT/13/2026 · National Bank of Ethiopia · January 9, 2026

Effective January 9, 2026, each bank freely sets its demand, savings and time deposit rates and its lending rates, so there is no longer a minimum savings rate. Rates must be approved in writing by each bank's board, based on explicit written criteria, and reported to the NBE, along with monthly weighted average rates. Rates on NBE lending and standing facilities are set by the NBE, and interbank rates are negotiated between banks. It repeals and replaces all earlier NBE interest rate directives.

Why it matters: Borrowing costs and deposit returns are now market-determined and can differ across banks, so it pays to compare offers. Existing loans keep their contractual terms unless the contract provides otherwise.

Banking licensing · In force

Requirements for Licensing and Renewal of Banking Business and Representative Office Directive

Directive No. SBB/94/2025 · National Bank of Ethiopia · June 25, 2025

Effective June 25, 2025, this directive sets the licensing path for domestic banks, foreign bank subsidiaries, foreign bank branches and representative offices. Minimum paid-up capital is Birr 5 billion for each type of bank, paid in acceptable foreign currency for foreign subsidiaries and branches; representative offices need at least USD 100,000 remitted in. Foreign nationals and foreign-owned Ethiopian organizations may together hold up to 49% of a domestic bank, with direct caps of 7% for an individual, 10% for a company and 40% for a strategic investor. It also sets licensing and renewal fees and repeals Directive No. SBB/56/2013.

Why it matters: This is the main entry rulebook for foreign banks and for foreign investors buying into Ethiopian banks. It defines the capital, ownership limits and fees to plan for.

Foreign equity in banks · Draft

Equity Investment by Foreign Nationals and Foreign Owned Ethiopian Organizations Directive (Zero Draft)

Directive No. SBB/XXX/2025 (draft) · National Bank of Ethiopia · 2025-10

This draft, issued under Banking Business Proclamation No. 1360/2025, would set detailed rules for foreign share purchases in Ethiopian banks. It proposes direct caps of 7% for a foreign individual, 10% for a foreign company and 40% for a strategic investor, with an aggregate foreign cap of 49% outside foreign bank subsidiaries. Shares would have to be paid in US dollars, euros or pounds sterling through the banking system, and holdings of 2% or more would need NBE approval. Foreign nationals of Ethiopian origin investing in Birr as domestic investors would not be subject to these limits.

Why it matters: Signals how the NBE intends to regulate portfolio and strategic stakes in local banks. Treat it as a draft; check for a final version before investing.

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Banking licensing · In force

Requirements for Licensing a Bank Branch to Operate in Special Economic Zone Directive

Directive No. SBB/99/2026 · National Bank of Ethiopia · January 6, 2026

Effective January 6, 2026, any bank, including foreign bank subsidiaries and branches, needs a branch license before operating in a Special Economic Zone. Applicants must meet prudential tests such as at least 1% of banking sector assets (waived for new foreign banks in their first two years), a capital adequacy ratio two points above the minimum, and a sound record on settling FX obligations. Zone branches must offer foreign exchange services and serve only zone residents; existing zone branches have two years to comply.

Why it matters: Companies operating in SEZs should see full banking and FX services on site. Banks targeting zone clients must meet these criteria first.

Capital adequacy · In force

Risk Based Capital Adequacy Requirement for Banks Directive

Directive No. SBB/95/2025 · National Bank of Ethiopia · November 7, 2025

Issued under Banking Business Proclamation No. 1360/2025, this directive moves banks to a risk-based capital framework covering credit, market and operational risk. Banks must hold Common Equity Tier 1 of at least 7%, Tier 1 of at least 9% and total capital of at least 11% of risk-weighted assets. Credit risk uses a standardized approach, for example 0% for Birr sovereign exposures, 35% for qualifying residential mortgages and 100% for unrated corporates.

Why it matters: Shapes how much capital banks need, and so how much they can lend and how they price loans. Investors in bank shares should expect capital raises at banks near these minimums.

Foreign exchange · In force

Foreign Exchange Exposure Limits of Banks Directive

Directive No. SBB/96/2025 · National Bank of Ethiopia · November 7, 2025

Effective November 10, 2025, a bank's overall open foreign currency position may not exceed plus or minus 18% of its Tier 1 capital at the close of each business day. Banks set their own single-currency limits within that cap, must square any excess by the next business day and report daily. Breaches and late or false reporting carry fines. It repeals Directive No. SBB/27/2001.

Why it matters: Limits how far banks can run long or short FX positions, which affects their appetite for FX trades and forward contracts with corporate clients.

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Banking regulation · In force

Investment on DBE Bonds (Repealing) Directive

Directive No. SBB/98/2025 · National Bank of Ethiopia · December 31, 2025

Effective December 31, 2025, this directive repeals Directive No. SBB/81/2021, which required banks to invest in Development Bank of Ethiopia bonds. Banks that fell short of the benchmark (1% of audited outstanding loans and advances, based on June 30, 2025 positions) had to settle the shortfall by January 31, 2026. Bonds bought before the effective date stay under the 2021 rules.

Why it matters: Ends a mandatory allocation of bank funds, which frees liquidity for private-sector lending over time.

Corporate governance · In force

Bank Corporate Governance Directive

Directive No. SBB/91/2024 · National Bank of Ethiopia · June 12, 2024

Effective June 12, 2024, banks must have at least nine directors: one-third elected by non-influential shareholders, one-third by all shareholders and one-third independent, with at least two women. A shareholder with 2% or more is an influential shareholder, terms last up to three years and no director may serve more than six consecutive years. Proxy voting is capped at 10% of subscribed capital. It repeals Directive No. SBB/71/2019.

Why it matters: Anyone taking a significant stake in an Ethiopian bank should understand how board seats are allocated and what NBE approvals directors need.

Payments and mobile money · In force; payment instrument issuer rules further amended by Directive No. ONPS/10/2025

Payment Instrument Issuer (Amendment) Directive

Directive No. ONPS/09/2023 · National Bank of Ethiopia · 2023-10

According to the NBE's October 2023 announcement of this revised directive for mobile money providers, it adds requirements for foreign mobile money providers in line with National Payment System (Amendment) Proclamation No. 1282/2023. It raised the daily wallet balance limit from Birr 30,000 to Birr 75,000, set a daily aggregate transaction limit of Birr 150,000 (with exemptions such as utility, tax and bulk payments), and allows banks to set up dedicated mobile money subsidiaries. It also lets providers offer additional services such as capital market products.

Why it matters: Opens the mobile money market to foreign providers and bank subsidiaries, and sets the wallet limits that shape consumer payment products.

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Microfinance In force

Minimum Paid-up Capital and Capital Adequacy Requirements of Microfinance Institutions Directive (3rd Replacement)

Directive No. MFI/36/2023 · National Bank of Ethiopia · January 16, 2023

Effective January 16, 2023, a new microfinance license requires at least Birr 75 million of paid-up capital, fully paid in cash. Existing microfinance institutions below that level must reach it by January 2028, and all institutions must keep a capital adequacy ratio of at least 12% and report quarterly. Institutions that fail the requirement may be put under receivership or merged. It repeals Directive No. MFI/27/2015.

Why it matters: Sets the entry ticket for investors planning a microfinance institution and points to consolidation among smaller existing ones.

References for members. Every figure and statement in this digest is drawn from documents published by international institutions and the Government of Ethiopia. Direct links to every original document are is included in the member edition, available free to registered Investopia members on the platform.

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